

Board of Trustees Special Meeting Minutes

Tuesday, February 10, 2026

4:30 p.m. via Zoom

Administrative Service Center
415 Tumwater Blvd SW
Tumwater, WA 98501

Brian Mittge, *President*, Lewis County
Dustin Loup, *President Elect*, Grays Harbor County
Mary Beth Harrington, Thurston County
Toni Gwin, Pacific County
Hal Blanton, *At-Large*, Lewis County
Vacant Position, Mason County
Vacant Position, *At-Large*, Thurston County

Present Board: Brian Mittge, Dustin Loup, Mary Beth Harrington, Toni Gwin

Present Staff: Cheryl Heywood, Andrea Heisel, Brenda Lane, Rose Enos-Weedmark; recorder

Remote Access: Zoom: <https://Trl-org.zoom.us/j/81202499789> • Meeting ID: 812 0249 9789 • Phone Access (253) 215-8782 • Approximate Attendance = 225

Timberland Regional Library (TRL) Business Meeting Minutes

1. CALL TO ORDER AND ROLL CALL – Brian Mittge called the meeting to order at 4:30 p.m.

2. PLEDGE OF ALLEGIANCE – Dustin Loup led the pledge

3. APPROVAL OF AGENDA AND CONSENT AGENDA ITEMS – at 3:48 of the recording

26-006 – TONI GWIN MADE A MOTION TO APPROVE THE AGENDA AS PRESENTED. DUSTIN LOUP SECONDED. MOTION APPROVED (Unanimous 4).

4. OPEN BOARD COMMENTS at 3:20 and 4:08 of the recording Trustee Mittge comments that the Board, including the public, concerning the budget, will have the most up to date information presented prior to public comments. Trustee Harrington shares that reading the correspondence received from the public, it is obvious that the public is very passionate and cares for libraries and staff. Harrington shares that much of the correspondence does have inaccuracies, misinformation, and outright lies. Harrington strongly suggests that the public first check any information they hear for authenticity and accuracy before sharing it out.

5. NEW BUSINESS at 6:14 of the recording

A. Budget Discussion – Paige Preston, Finance Administrator, shares that Timberland Regional Library (TRL) operates with an estimated budget.

The Washington State Constitution limits the annual amount of property taxes that can be imposed on a property parcel to 1% of its assessed value and TRL must live within the 1%. Paige discusses the financial structure of TRL, that it maintains five different funds for the management of the district, the General Fund, which conducts TRL's normal business operation and maintenance, and four special purpose funds that cannot be used for general operating expenses. The special funds include the Technology Fund, Unemployment Fund, Building Fund, and the Gift Fund.

The Beginning Fund Balance (BFB) is set in February each year, per the Fund Balance Management Policy at 30%, during the budget adjustment process and following the close of the prior fiscal year. This year the BFB fell below 30% and TRL is required to implement a plan for restoration per policy.

TRL administration will work together with the Board to implement an immediate hiring freeze, reduce staff, reduce the books and materials budget by an estimated \$1.8 million, reduce supplies and nonessential purchases, reduce paid presenters outside of Summer Library

Program, eliminate nonessential travel, conferences, and training.

- B. Budget Adjustment at 16:00 and 1:48:16 of the recording a resolution and a summary were presented of the 2026 Budget for adjustment. There are no staffing related costs in the budget adjustment due to pending discussions with the union.

Background information 17:08 of the recording – Cheryl shares budget background:

- 2001 - Initiative 747 was approved in Washington that capped annual property tax increases for taxing districts at 1%.
- 2009 - TRL tried for a levy lid lift that failed and resulted in a 2.5 million reduction in the budget. The cost of going for a levy lid lift depends on what time of year and who else is on the ballot. In 2009 the cost was \$350,000 on a February election ballot and TRL was the only entity on the ballot. In 2025 Fort Vancouver went for a levy lid lift and the preliminary cost was \$933,000. Financially, the Board and administration currently agreed to not seek a levy lid lift.
- 2012 - John Braun, Board member stated that TRL needed a sustainable, long-term plan.
- 2013 - Cheryl became Executive Director and was informed that TRL would be facing a financial cliff in 2018 due to the 1%.
The state auditor required TRL to create the Beginning Fund Balance Policy.
For the last 13 years TRL has tried to bring down the staff through attrition and retirement incentives, multiple restructuring at the Service Center and in libraries. Technology was introduced to help internal efficiency.
- 2015 - The Board requested that administration create a plan for long-term sustainability. The plan was created, the Capital Facilities Proposal, and designed to start discussions to develop a long-term plan.
- 2018 - The Board decided to keep all physical libraries open.
- 2019 - Administration and the Board began working on a class and comprehensive study on salaries and benefits since TRL had not done so since 2007. The Board approved a little more than a million dollars to bring the salaries and benefits to current standards. Cuts were made to administration at the time from nine direct reports to three.
The BFB had a substantial portion of money that year and the Board decided to change the policy to include 30% in the BFB and utilize a one-time cash flow of 5.1 million to be added to the Building Fund for library improvements. The Board also requested that administration develop ideas on how to utilize the extra funds. Of these ideas, some came to fruition such as the West Olympia and Hawks Prairie demonstration libraries, the purchase of the Anywhere Library vans, installation of Expanded Access Hours (EAH) for rural libraries, Radio-Frequency Identification (RFID) tagging, Intelligent Material Management System (IMMS), building of the new Mountain View Library, and library refreshes.

Cheryl adds that we have worked diligently, effectively, and efficiently as possible internally while continuing excellent customer service externally. TRL has had a five-year clean financial and accountability audit from the Washington State Auditor's office.

Kandy Seldin, HR Administrator, shares that at the beginning of 2025, two directors were reclassified and received a salary increase due to taking on additional duties after the Deputy Director's departure and TRL did not re-fill that position. The union also bargained increased salaries for 28 other staff members and reclassifications with an increase of 3% to 23% depending

on position taking on additional duties. There was also a wage adjustment in the Library Assistants positions with an increase of 3% to 6% affecting 22 staff members. The lowest paid wage starting with TRL is \$25.03, which is \$8 above minimum wage.

Paige Preston shares information regarding the control of TRL funds. TRL is part of Thurston County Investment pool and Thurston County Treasurer's Office are the custodians of TRL funds. No one person in the TRL organization has access to TRL funds. The state auditor's office audits TRL annually per RCW 43.09.230 and currently in the middle of an audit now and the results will be posted on the state auditor's website when completed.

Board questions regarding the Budget and Budget Adjustment at 38:47 of the recording – Trustee

Mittge acknowledges that Cheryl has been telling the Board for some time that expenditures would eventually outpace the revenues and it has now happened. Mittge states that the members of the public are asking how did we not see this coming? And the big picture is, we did see this coming and we knew at some point it would happen. Can you explain how this happened between the end of the year and now? Paige states that we need to reframe the concept of something changing in the last month, because the reality is that this has been ongoing for many years. It is not that things were unanticipated or higher in the last month, it is a matter that when the fiscal year rolled over, the BFB was set, rather than being an estimate like in the budgeted documents, it was clear that the anticipated cost saving measures from our staffing plan did not work as expected, compounded with additional unexpected costs throughout the year, which needed to be addressed in the moment.

Paige points out, historically the BFB, in any given year, has been the indicator of the financial health of TRL. In 2022 the BFB was 38.7% of anticipated revenues, in 2023 it was 43.6 %, in 2024 it was 38.8%, and in 2025 it was 31.6% and entering the year with a staffing plan intended to draw down staffing costs. The policy requires that once the BFB drops under 30%, a plan for restoration must be developed to correct it. Paige clarifies for Trustee Mittge that the Budget Adjustment document shows the immediate action plan that TRL is taking to bring the budget back into alignment, however, it does not include changes in staffing or any other changes in service the Board may make throughout the year. Paige adds, we need to find a sustainable way to live within the 1%.

Mittge asks what would happen if we cut the collection to an additional 2.2 million in the short term? Cheryl answers that it would simply punt the problem down the line and we would still have a structural deficit to the detriment of 550k people who want access to a public library system. Mittge asks what the cut to collection looks like. Paige shares that the collection would go from 16% to 10% of the overall budget. Andrea shares that the reduction in the collection budget impact on patrons will potentially be an increase in hold times, limited copies of popular items, not purchasing as deep of a collection, and we have currently turned off all patron requests. Mittge adds, of the items we have invested in such as EAH and Intelligent Material Management System (IMMS) will save TRL some money overall.

Mittge asks about the re-organization and cost savings. Paige adds that initially the re-org was to bring down staff costs however the unanticipated consequence of the re-org having staff move across the district utilizing additional vehicles, mileage, and staff travel.

Paige also adds that TRL has a higher usage of Paid Family Medical Leave (PFML), the Washington State program and Family Medical Leave (FML), the Federal program nearly four times more than

the state average paying staff for those on leave. Kandy provides previous years statistics for the use of leaves.

Trustee Loup asks for clarification on estimating revenues. Paige adds that she underestimates most revenues except for the property taxes when she overestimates not to leave property tax money on the table. Loup asks if the same formula is used or are there potentially different variables to consider. Paige explains she uses 1% over the previous year's revenues but that does not include new construction which can impact the levy rate. For other revenues sources, which we have many, Paige reviews the year over year trends to make an educated guess based on what is seen over the years. Loup confirms that the 30% threshold is based on the estimated revenue not expenditures and even though revenues increase year after year with the increase in expenditure and put pressure on the actual 30% threshold. Paige confirms. Loup asks if there is anything that we can do to bring those closer. Paige shares the 2025 Budget estimate compared to actual, we received 98% of what was expected. Loup recaps his interpretation of the meeting thus far to help the information, hopefully, have more clarity. Paige clarifies that the Budget Adjustment document is the first step in correcting the shortfall. Large structural changes need to take place to bring down our total expenditure this year and in future years. Paige affirms that Trustee Loup interpretation is correct. Trustee Mittge asks if the measures TRL is planning, will those changes be enough to balance the budget this year, next year, etc. Paige shares that there are other associated costs that will need to be considered, severance payments, paying out vacation leave, unemployment, and those costs will be for a period as we are self insured with L&I. Paige also shares the transfer of funds to the unemployment fund in the budget adjustment documents are to help offset those costs.

Paige shares that the 2019 Board set aside the monies in the Building Fund specifically and intentionally to upgrade libraries to be ADA compliant as well as health and safety management, because if TRL were to go for a levy lid lift in the future, we have shown that we have invested in the libraries and what patrons want, to ask for more support in the future. Those upgrades must continue for a levy lid lift to be successful.

Mittge asks what we can expect in both large and small libraries. Cheryl and Andrea share that we are still in the planning phase with Andrea emphasizing that we want to continue to have libraries accessible to the public and are considering all viable solutions.

Kandy shares that a volunteer separation plan has started and goes through the end of the week, with eight or nine individuals indicating interest. Paige confirms that unfilled vacant positions will help bring the gap closer.

- 5. PUBLIC COMMENTS – at 1:54:56 of the recording** Rose Enos-Weedmark, Executive Administrator, shared there were 59 written public comments submitted to the Board of Trustees regarding the budget and the following individuals made a verbal public comment regarding the budget: Naomi Bell, Michael Rainey, Skyler Walker, Jason Tippner, Debbie Borek, Brenda Goates, Roxio Boggio, Rebecca Franich, Christina Brischello, Kylie McQuarrie, Jay Jack, Jonah Barnett, Rachelle Martin, Alex Clark, Cathy Caverness, Andrew Winfree, Kenny Farver, Hallie Ralls, Paula, Harriett Hodes, Eowyn Ellervere, Jaiden (unknown last name), Forest (unknown last name).

Board Comments at 3:15:10 of the recording Trustee Mittge confirms the Board is set to approve Resolution 26-001 at the next regular Board meeting and asks what next steps are for the Board. Trustee Harrington confirms and adds the next step would be to have additional information from

the meeting between administration and the union. Mittge asks if the Board will be approving a reduction in force (RIF) resolution and Cheryl shares that the Board will be approving something related to restore the budget. Trustee Loup asks if there are any specific restrictions regarding the Technology Fund. Paige adds that no there are no restrictions, however that is a one-time cost and what we need is to decrease or remove the ongoing year after year expenditures. Mittge shares that he feels better tonight after discussion and clarification. Trustee Loup shares he has no concern that any kind of embezzlement, fraud, or anything is happening. Mittge states that there is no question that any sort of money is being taken because that is what the state auditor is looking at most particularly and we absolutely have a clean audit on that. Harrington agrees with Mittge and Loup and feels there is no unethical behavior happening. Harrington adds that the state audit should be wrapping up in the next few weeks and that will show something that is currently unknown. Trustee Gwin acknowledged the time spent on the discussion and is assured that staff will continue to look into the matter.

26-007 – MARY BETH HARRINGTON MADE A MOTION TO ADJOURN. TONI GWIN SECONDED. MOTION APPROVED (Unanimous 4).

6. ADJOURNMENT at 7:59 p.m.